

Compliance & Regulatory Reference Guide

KYC, AML, and Regulatory Obligations — Retail Banking

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1. KYC requirements

Know Your Customer (KYC) norms are mandated by RBI Master Direction – KYC Direction, 2016 (updated 2023). All accounts must have valid KYC documents on file.

Officially valid documents (OVD) for identity proof:

- Aadhaar card (preferred — e-KYC enabled)
- Passport
- Driving licence
- Voter identity card
- NREGA job card (with photo)
- PAN card (mandatory for transactions > Rs. 50,000)

Address proof documents accepted:

- Aadhaar card
- Utility bill (electricity/water/gas) — not older than 2 months
- Bank account statement — not older than 3 months
- Passport
- Driving licence

2. KYC validity & re-KYC schedule

Customer risk category	KYC validity	Re-KYC trigger
Low risk	10 years	Self-declaration accepted
Medium risk	8 years	Document refresh required
High risk	2 years	In-person verification required
PEP (Politically Exposed)	Annual	Enhanced due diligence mandatory

3. AML reporting obligations

Under the Prevention of Money Laundering Act (PMLA) 2002 and PMLA Rules, 2005, the bank is required to file the following reports with the Financial Intelligence Unit (FIU-IND):

Report type	Trigger	Filing deadline
CTR	Cash transactions $\geq$ Rs. 10 lakh/day	15th of following month
STR	Suspicious transaction (any amount)	Within 7 working days
CCR	Counterfeit currency detected	Within 3 working days
NTR	Non-profit transaction $\geq$ Rs. 10 lakh	15th of following month

CTR = Cash Transaction Report. STR = Suspicious Transaction Report. CCR = Counterfeit Currency Report. NTR = Non-profit Organisation Transaction Report.

4. Suspicious transaction indicators

- Large cash deposits followed immediately by wire transfers to unknown accounts.
- Multiple accounts receiving funds and immediately consolidating to one account.
- Transactions just below reporting thresholds (structuring).
- Customer reluctant to provide KYC documents or provides inconsistent information.
- Unusual geographic pattern — transactions from multiple countries within short period.
- Sudden large increase in account activity inconsistent with customer profile.

5. RBI key regulatory circulars (reference)

Circular reference	Subject	Applicable from
RBI/2023-24/102	Digital KYC guidelines	Nov 2023
RBI/2023-24/73	Credit card charges norms	Sep 2023
RBI/2022-23/169	Omnibus framework for SROs	Apr 2023
PMLA (Amendment) 2023	Crypto VASP obligations	Mar 2023
RBI/2021-22/152	KYC Master Direction amendment	May 2022

6. Penalties for non-compliance

Violation	Penalty (indicative)
KYC non-compliance	Up to Rs. 1 crore per instance (RBI Act Section 47A)
AML reporting failure	Up to Rs. 1 lakh per day of default (PMLA Section 13)
Data localisation breach	Up to Rs. 5 crore or 4% of global turnover
Wilful STR suppression	Criminal prosecution + license risk